

market capitalization,² the DJIA for 30 of the largest U.S. stocks by market capitalization,³ and the NASDAQ 100 for big domestic and international companies in sectors that include computer hardware and software, telecommunications, and biotechnology.⁴ Note that the graph uses a log scale for the y-axis so that the broad market indices can be seen—in other words, they’d be invisible on a linear scale.

Since July 2010, the three broad indices have done well, with U.S. stocks in a recovery bull market after the financial crisis of 2008. An initial investment of \$100 would have grown to \$242, \$231, and \$291, for the S&P 500, DJIA, and NASDAQ 100, respectively. Although equity market returns have been respectable, they have been dwarfed by bitcoin, which has done phenomenally in the same period—an initial investment of \$100 grew to nearly \$1.3 million by the beginning of January 2017.

LINEAR VS. LOGARITHMIC

Two types of scales are commonly used for representing the change in the price of assets: linear and logarithmic. Linear price scales show unadjusted unit changes in the y-axis. For example, if priced in dollars, \$10 in value increase will look the same, whether the asset goes from \$10 to \$20 or \$100 to \$110. Logarithmic scales adjust the y-axis—in finance most commonly by factors of 10—which allows *percent* price increases to be compared. For example, on a logarithmic y-axis the price move from \$10 to \$20 will show up more clearly than the move from \$100